

RESERVE BANK OF INDIA

Master Direction on Fair Lending Practices
RBI/2025-26/FL/001 | Effective: April 1, 2025

Chapter 1: Scope and Applicability

1.1 These directions apply to all Scheduled Commercial Banks, Non-Banking Financial Companies (NBFCs), Housing Finance Companies, and any entity regulated by the RBI that deploys Artificial Intelligence (AI) or Machine Learning (ML) models for credit decisions, loan eligibility assessments, interest rate determination, or customer risk categorization.

1.2 The objective of this Master Direction is to ensure that AI/ML-based lending systems operate in a manner that is fair, transparent, non-discriminatory, and compliant with the principles enshrined in the Constitution of India, the Banking Regulation Act 1949, and the Reserve Bank of India Act 1934.

Chapter 2: Non-Discrimination and Fairness Requirements

2.1 Prohibited Discrimination Variables: No AI/ML model used for lending decisions shall discriminate against applicants based on:

- (a) Gender, sex, or gender identity;
- (b) Religion, caste, or ethnic origin;
- (c) Age, except where age is a bona fide factor in loan tenure calculations;
- (d) Geographic location, including urban vs. rural classification;
- (e) Marital status or family composition;
- (f) Disability status.

2.2 Equal Treatment Mandate: Two applicants with substantially similar financial profiles (income, credit score, debt-to-income ratio, employment stability) MUST receive substantially similar loan terms — including approval/rejection decisions, interest rates, loan amounts, and tenure offered — regardless of the prohibited variables listed in 2.1.

2.3 Interest Rate Fairness: The difference in interest rates offered to applicants from different demographic groups, after controlling for financial risk factors, shall not exceed 50 basis points (0.5%). Any systematic deviation beyond this threshold shall be treated as prima facie evidence of discriminatory pricing.

2.4 Rejection Rate Parity: The rejection rate disparity between any two demographic groups, after controlling for creditworthiness indicators, shall not exceed 10 percentage points. Regulated entities must monitor and report these metrics quarterly.

Chapter 3: Transparency and Explainability

3.1 Right to Explanation: Every applicant whose loan is rejected or offered unfavorable terms by an AI/ML system has the right to receive a clear, human-readable explanation of the factors that influenced the decision.

3.2 The explanation must NOT reference any prohibited variable (listed in Section 2.1) as a factor in the decision. If the model internally uses proxy variables that correlate with prohibited

variables, the regulated entity must demonstrate that adequate bias mitigation measures are in place.

3.3 Model Documentation: Regulated entities shall maintain comprehensive documentation of all AI/ML models used in lending, including training data composition, feature selection rationale, validation methodology, and bias audit results.

Chapter 4: Periodic Auditing Requirements

4.1 Mandatory AI Audit: Every regulated entity using AI/ML in lending decisions shall conduct a comprehensive bias and fairness audit at least once every quarter (every 3 months).

4.2 The audit shall include: (a) testing with synthetic adversarial inputs across all protected categories; (b) measurement of Equalized Odds, Demographic Parity, and Calibration metrics; (c) analysis of model drift from baseline fairness benchmarks.

4.3 Audit Results Reporting: Audit results must be submitted to the RBI's Department of Supervision within 30 days of audit completion. Results showing fairness scores below 7/10 on any protected category shall trigger a mandatory remediation plan.

4.4 Non-Compliance Penalties: Regulated entities found to be operating discriminatory AI/ML lending systems shall be subject to: (a) monetary penalties up to ₹5 crore per violation; (b) mandatory suspension of the AI/ML system; (c) public disclosure of the violation.

Chapter 5: Rural and Agricultural Lending

5.1 Priority Sector Compliance: AI/ML models used for agricultural and rural lending must ensure that farmers, rural entrepreneurs, and self-help groups receive equitable access to credit.

5.2 Rural applicants shall NOT be assigned higher risk scores solely based on their geographic classification. Risk models must use individual financial indicators rather than area-level statistics.

5.3 Crop Type Neutrality: Loan decisions for agricultural purposes shall not discriminate based on the type of crop cultivated. Farmers growing subsistence crops shall receive the same eligibility treatment as those growing commercial crops, given similar financial standing.